

Anti-Corruption and Conflicts of Interest Policy

(PUBLIC VERSION FOR EXTERNAL STAKEHOLDERS)

1. OBJECTIVE

1.1 Introduction and purpose

As the global leader in the testing, inspection and certification industry, SGS SA, including all affiliated companies, (the "Company" or "SGS") is trusted by customers, consumers, governments and other stakeholders who rely on SGS's services to verify or certify that goods and services meet the required local and international standards, applicable laws and regulations or customer specifications. That trust cannot be jeopardized by any form of corruption or conflicts of interest.

Being conscious of this, the Company is committed to fighting corruption and has adopted a zero-tolerance policy towards it. In addition, it rejects any conflicts of interest that can compromise the objective judgement, decisions or actions of its employees or third parties acting on behalf of, or representing, SGS.

The purpose of this Policy is to expand and further clarify the anti-corruption and conflicts of interest principles and rules stated in the **SGS Code of Integrity**. This is done by providing additional guidance and information on recognizing and adequately dealing with corruption risks, explaining the specific rules concerning the disclosure and approval of "Integrity Disclosures" and indicating the different channels through which those disclosures must be made, hereafter referred to as "Integrity Disclosure Channels."²

The Policy contains SGS's global minimum standards, obligations and expectations in relation to fighting corruption and conflicts of interest. In some countries or for some specific services, more stringent laws, regulations or industry codes may apply. Affiliates may also implement more detailed and stringent local rules if the minimum standards contained herein are respected.

In no case does this Policy override requirements of local laws and regulations. Whenever they impose stricter requirements than those set forth in this Policy, they shall always prevail.

2. APPLICABILITY AND EFFECTIVE DATE

2.1 Applicability

This Policy applies to all employees, officers and directors of SGS and its affiliated companies (hereafter collectively referred to as "SGS employees"), as well as to third parties acting on behalf of, or representing,

SGS (including but not limited to sales agents and intermediaries), in the context of SGS related business operations (even when SGS is not directly involved in their actions) as they fall under SGS's responsibility.

2.2 Effective date

This Policy has been approved by the SGS Group CEO and is in force since July 15, 2026.

3. PRINCIPLES AND RULES

Corruption is an act that can take many forms, such as bribery, coercion, fraud, undue influence peddling, etc. and can have severe negative impacts on SGS. Among others, the Company may incur substantial liabilities, fines or penalties, suffer an adverse reputational impact, loss of revenue, increased operational, capital or regulatory costs, destruction of shareholder value and disqualification to obtain public grants or lines of credit or to participate in public or private tenders. In some jurisdictions, SGS, its employees and third parties acting on behalf of, or representing, SGS, may be subject to criminal charges for committing a criminal offence or for not implementing sufficient preventive, detective and corrective measures to mitigate the risk of corruption.

SGS does not engage in, tolerate or condone corruption of any form. SGS employees and third parties acting on behalf of, or representing, SGS must respect and fully comply with this statement.

The following sets out the principles and rules established by SGS to fight specific relevant forms of corruption and prevent conflicts of interest.

3.1 Bribery

Bribery is a form of corruption that has different forms:

Active bribery:

Refers to the act of offering, promising or giving, directly or indirectly through a third party, any improper advantage³, with the purpose of influencing or rewarding the actions of an individual to obtain an improper advantage for SGS, oneself, a close relative or any third party.

Examples of active bribery include, but are not limited to:

- Bribes to secure or maintain business, including that arising from public or private tenders
- Bribes to secure payment
- Bribes to secure an advantageous tax or customs treatment

¹ Refers to disclosures related to gifts, entertainment and hospitality, donations and sponsorships and conflicts of interest

² See section 4 - Integrity Disclosure Channels

³ See section 8 - Definitions

- Bribes to obtain a permit, license or certificate
- Bribes to gain any other improper advantage by improperly influencing the decisions or acts of a third party

Passive bribery:

Refers to the act of requesting, accepting or agreeing to receive, directly or indirectly through a third party, any improper advantage⁴ for SGS, oneself, a close relative or any third party, in exchange or as a reward for an improper advantage for a third party.

Examples of passive bribery or kickbacks include, but are not limited to:

- Bribes to purchase the goods or services of a particular supplier or business partner
- Bribes to issue an untruthful or misleading testing, inspection or certification report or certificate
- Bribes to improperly misrepresent or change the findings and results of a conducted service
- Bribes to unjustifiably not follow the defined procedures or standards for conducting a service
- Bribes to secure any other improper advantage for a third party by influencing the decisions or acts of an SGS employee or a third party acting on behalf of, or representing, SGS

Bribery can involve a government or a government-owned or controlled entity⁵, public official⁶ or a politically exposed person ("PEP"⁷). Such bribery is considered a form of public corruption. It can also involve an individual or entity from the private sector, being then considered a form of private corruption.

SGS employees and third parties acting on behalf of, or representing, SGS, must not be directly or indirectly involved in any act of active or passive bribery with the purpose of obtaining an improper advantage⁸ for SGS, oneself or a third party. This includes, in particular, making any improper payments to a public official⁹ or a PEP¹⁰.

Although SGS does not distinguish between public or private corruption, particular care should be taken in any dealings with the public sector as it has higher exposure and is generally subject to stricter rules and controls than those of the private sector.

It is important to bear in mind that for an act to be considered a bribe it is not necessary that the delivery or concession of the improper advantage¹¹ has materialized or taken place. It is sufficient that an improper advantage is offered.

Reporting bribery:

SGS employees and third parties acting on behalf of, or representing, SGS who receive a demand for a bribe, or are offered a bribe, in any form whatsoever, must **report** the matter immediately to their line manager and through the **SGS Integrity Helpline** (or any other official general or local channel to report suspected or known violations of the **SGS Code of Integrity**). They will not be penalized for refusing to offer or accept a bribe.

Allegations will be reviewed and investigated promptly, impartially and appropriately in line with the Company's approved investigation guidelines and processes.

Findings will be reviewed by the relevant disciplinary committee, and appropriate action will be taken, as required.

3.1.1 Facilitation payments

Facilitation payments are one-off payments of a modest value ("grease payments") made for the purpose of expediting or facilitating the performance typically by a low-level public official of a routine action which SGS is legally entitled to. They are illegal in most countries, and in some they are even considered a criminal offence.

Examples of routine actions include, but are not limited to:

- The obtention of permits, licenses or other official documents that qualify a person or entity to do business in a specific country or region
- The processing of government papers, such as visas or work orders
- The verification of passports or other required travel documents
- The national or international transit of goods or the processing of the related papers
- The provision of security or police protection
- The provision of mail pick-up and delivery services
- The scheduling of regulatory inspections that SGS must pass
- The provision of phone service, power and water supply, and loading and unloading cargo
- The protection of perishable products from deterioration

SGS employees and third parties acting on behalf of, or representing, SGS must not make and should refuse any demands made by officials for facilitation payments.

Reporting facilitating payments:

SGS employees and third parties acting on behalf of, or representing, SGS who receive a demand for a facilitation payment must **report** the matter immediately to their line manager and through the **SGS Integrity Helpline** (or any other official general or local channel to report suspected or known violations of the **SGS Code of Integrity**). They will not be penalized for refusing to make the payments.

Allegations will be reviewed and investigated promptly, impartially and appropriately in line with the Company's approved investigation guidelines and processes.

Findings will be reviewed by the relevant disciplinary committee, and appropriate action will be taken, as required.

⁴ See section 8 - Definitions

⁵ See section 8 - Definitions

⁶ See section 8 - Definitions

⁷ See section 8 - Definitions

⁸ See section 8 - Definitions

⁹ See section 8 - Definitions

¹⁰ See section 8 - Definitions

¹¹ See section 8 - Definitions

3.1.2 Gifts, and entertainment and hospitality (and related disclosures)

SGS is aware and recognizes that the exchange of reasonable occasional courtesies in the form of gifts or entertainment and hospitality¹² is a common practice, intended to foster professional relationships and express courtesy, appreciation or gratitude. In some countries, such practices are deeply rooted in cultural customs, and non-participation may be perceived as impolite or may cause offense. However, they may also be used, or perceived, as a vehicle through which bribes and other illicit or improper advantages are offered or received, including rewards for influencing a person to act, or to refrain from acting, in breach of ethical standards or their professional or official duties.

Examples include, but are not limited to, the following:

- Those that are inappropriate in terms of typology or value because they exceed what is usual in normal business relations or are in breach of applicable SGS policies
- Those that are inappropriate in terms of timing because they are given or received during or right after obtaining or renewing business, licenses or permits, etc.

To reduce the risks detailed above, the Company has adopted a restrictive policy with regards to the exchange of those courtesies that includes the following rules:

As a general rule, SGS employees must avoid offering or accepting any form of gift or entertainment and hospitality¹³ that could be damaging to the reputation of SGS or could improperly influence, or create the appearance of an improper influence on, business decisions. This includes invitations to clubs or nightclubs, which must not be offered or accepted.

Also, third parties acting on behalf of, or representing, SGS are specifically prohibited from offering or accepting, on behalf of SGS or in connection with their business relationship with SGS, any gift or entertainment and hospitality¹⁴ to or from third parties.

a) Gifts, and entertainment and hospitality offered to SGS employees:

Gifts:

SGS employees are prohibited from accepting any type of gift, cash, tip or loan from existing or prospective customers, suppliers and business partners. The only exceptions are promotional branded items of nominal value such as calendars, pens and notepads, as well as perishable items such as food and drinks. Perishable items must be shared and distributed amongst the SGS affiliate employees in accordance with local policies. As a matter of clarification, the nominal value must be defined by each SGS affiliate or business unit in

accordance with reasonability and local courtesy customs. Such nominal value definition must be approved by the Global Head of Compliance and Business Ethics.

If the gift received cannot be returned without causing offence, a suitable method of disposal should be chosen in accordance with local policies, for example, donation to a charity.

Entertainment and hospitality:

In general:

SGS employees **must disclose**¹⁵ all entertainment and hospitality¹⁶ offered by existing or prospective customers, suppliers and business partners in advance and in accordance with applicable SGS policies.

Should circumstances not allow for advance disclosure, this should be done immediately after the entertainment or hospitality is received.

Exemptions:

The acceptance of reasonable business meals, food and drinks offered at social or professional events and reasonable transportation, does not require disclosure.

Entertainment and hospitality offered in connection with services performed by SGS or by existing or prospective suppliers and business partners to SGS employees involved in the procurement process or the selection of suppliers or business partners:

SGS employees are prohibited from accepting entertainment and hospitality¹⁷ when the offer is made in connection with services performed by SGS or is made by existing or prospective suppliers and business partners to SGS employees involved in the procurement process or the selection of suppliers or business partners.

Exceptions:

As an exception to the rule, SGS employees may attend but **must disclose**¹⁸ any invitation to the following events:

- Trade fairs and similar professional events which are sponsored by suppliers
- Wedding and wedding anniversaries
- Funerals
- Retirement parties

Exemptions:

The acceptance of reasonable food and drinks, such as access to a company's food canteen and reasonable transportation, does not require disclosure.

b) Gifts, and entertainment and hospitality offered by SGS employees to third parties:

Gifts:

SGS employees are prohibited from offering any type of gift, cash, tip or loan to third parties,

¹² See section 8 - Definitions

¹³ See section 8 - Definitions

¹⁴ See section 8 - Definitions

¹⁵ See section 4 - Integrity Disclosure Channels

¹⁶ See section 8 - Definitions

¹⁷ See section 8 - Definitions

¹⁸ See section 4 - Integrity Disclosure Channels

other than small promotional SGS branded items of nominal value such as calendars, pens and notepads, as well as perishable items such as food and drinks of a total value not exceeding CHF 100 per recipient and per calendar year. As a matter of clarification, the nominal value must be defined by each SGS affiliate in accordance with reasonability and local courtesy customs. Such nominal value definition must be approved by the Global Head of Compliance and Business Ethics.

Exceptions require **prior disclosure and approval** in accordance with applicable SGS policies.

Entertainment and hospitality:

Offering any type of entertainment and hospitality¹⁹ to third parties (including travel, accommodation and any hospitality), with the exception of business meals, requires **prior disclosure and approval** in accordance with applicable SGS policies.

3.1.3 Donations and sponsorships (and related disclosures)

SGS is proud of giving back to the communities where it operates by offering donations in various forms, including cash contributions, volunteering community hours and in-kind donations, such as goods or services offered for free or for less than the usual charge.

These are made with the purpose of supporting charitable organizations, not-for-profit community-based programs, including initiatives related to emergency relief efforts following natural disasters, education, healthcare, financial support for collectives at risk, and research, as well as other beneficiaries in need, such as schools and medical centers. These donations are voluntary and are made with no expectation of anything in return.

SGS also engages in sponsorships by supporting specific events, organizations, media channels or individuals for the purpose of promoting and enhancing the Company's reputation and revenue streams.

However, donations and sponsorships can be used, or perceived, as a vehicle through which bribes or other illicit payments may be given or received. To mitigate these risks, the Company has implemented precautionary measures, including the following rules:

- SGS neither supports nor contributes funds or resources, directly or indirectly, to any political party, elected official, candidate for public office, political campaigns or religious organizations. As a result, donations related to those third parties are prohibited
- SGS employees who wish to offer non-prohibited donations or sponsorships, on behalf of SGS, **must disclose**²⁰ them in advance and obtain prior approval in accordance with applicable SGS policies.

Approval will not be given if they intend or appear to influence third parties to grant improper advantages²¹ to oneself, SGS or other third parties.

- With regards to requests, SGS employees are prohibited from requesting third parties for donations and sponsorships on behalf of SGS or in connection with their employment at SGS. This rule does not apply to internal donation campaigns in which SGS encourages its employees to participate
- Concerning third parties acting on behalf of, or representing, SGS, they are specifically prohibited from offering, requesting or accepting on behalf of SGS, or in connection with their business relationship with SGS, any donation or sponsorship
- Donations and sponsorships made on behalf of SGS that do not comply with these rules are prohibited, even if personal or third-party assets, resources or funds are used. Any donation or sponsorship made personally will not be reimbursed by SGS

3.2 Coercion

Coercion is a form of corruption that involves, directly or indirectly, using an act of pressure, including the use of force or threat to influence the will or conduct of a third party.

SGS employees and third parties acting on behalf of, or representing, SGS must not directly or indirectly be involved in any act of coercion with the purpose of obtaining an improper advantage²² for SGS, oneself or a third party.

Reporting coercion:

SGS employees and third parties acting on behalf of, or representing, SGS who are placed under acts of coercion, force or threat must **report** the matter immediately to their line manager and through the **SGS Integrity Helpline** (or any other official general or local channel to report suspected or known violations of the **SGS Code of Integrity**). They will not be penalized for refusing to engage or succumb to coercion.

Allegations will be reviewed and investigated promptly, impartially and appropriately in line with the Company's approved investigation guidelines and processes.

Findings will be reviewed by the relevant disciplinary committee, and appropriate action will be taken, as required.

3.3 Fraud and embezzlement

Fraud:

Fraud is a form of corruption that involves, directly or indirectly, deceiving others for personal gain. It may take many forms, including financial fraud, tax fraud and other similar conduct, and often involves the misrepresentation, manipulation or abuse of information for personal gain.

SGS rejects and strictly prohibits any form of fraud.

SGS employees and third parties acting on behalf of, or representing, SGS must ensure that business and financial records related to SGS, in both physical and

¹⁹ See section 8 - Definitions

²⁰ See section 4 - Integrity Disclosure Channels

²¹ See section 8 - Definitions

²² See section 8 - Definitions

digital form, are complete, true, accurate and fair. All information and transactions must be filed and archived in a timely manner, in accordance with applicable laws and SGS Group policies.

As a matter of reference, they are specifically prohibited from:

- Falsifying or misrepresenting business or financial records
- Altering or destroying business records in breach of SGS Group policies, procedures or applicable law
- Misrepresenting or altering sales figures to meet goals or targets
- Submitting false or inflated expense claims related to travel or other expenses
- Submitting false or inflated work or overtime timesheets
- Pursuing any personal investment or business opportunity on the basis of non-public information regarding SGS, its customers or third parties
- Trading in shares, options and other securities issued by SGS, its customers or third parties while in possession of non-public information
- Disclosing confidential information or providing investment tips to third parties on the basis of insider information

Embezzlement:

Embezzlement is a form of financial fraud that involves, directly or indirectly, abusing a position for personal benefit by misusing, misplacing or stealing assets, resources and/or funds entrusted to that person. This includes, but is not limited to, the falsification of financial records, the creation of fictitious invoices, or the diversion of funds to personal accounts. SGS rejects and strictly prohibits any form of embezzlement.

SGS employees and third parties acting on behalf of, or representing, SGS have a duty to respect and safeguard SGS and third-party assets, resources and funds, and must not use them improperly or for any form of personal benefit.

They must maintain the confidentiality of SGS information and not disclose or discuss any sensitive information regarding SGS, its business, financial performance, investments, strategies and customers.

3.4 Lobbying and advocacy (and related disclosures)

Lobbying refers to any activity aimed at seeking or attempting to influence the actions, policies or decisions of government authorities, political parties or judicial bodies.

Advocacy refers to any activity aimed at shaping the understanding, opinion, or policy direction, without targeting a specific law, regulation, or official decision.

SGS engages in responsible lobbying and advocacy activities, either directly or indirectly through third parties, such as trade associations, industry groups, or lobbying firms, in order to represent and promote its legitimate interests. Such activities must be conducted lawfully, transparently and in accordance with applicable laws and SGS policies. To ensure this, the Company has implemented the following rules:

- Although responsible lobbying is permitted, SGS employees and third parties acting on behalf of, or representing, SGS are prohibited from engaging in undue influence peddling, including by using personal influence or connections with government authorities, members of political parties or judicial bodies, to secure any illegal or improper advantage in exchange for providing, directly or indirectly, any advantage or contribution to any person or entity
- Any relationship maintained by SGS with government authorities, members of political parties or judicial bodies must be conducted in full compliance with applicable laws

3.5 Conflicts of interest (and related disclosures)

Conflicts of interest are situations in which personal interests collide with professional duties or responsibilities. This includes situations in which an SGS employee's personal interests, or those of a close relative²³ or a close friend, could interfere with the employee's judgment, objectivity, independence or loyalty to SGS.

To reduce this risk, the Company has implemented precaution measures that include the following rules.

SGS prohibits the following conflicts of interest for SGS employees:

- Having any involvement in the provision of services to an existing or prospective SGS customer in which they or a close relative of theirs has a significant shareholding or other financial interests, or occupies a procurement, management or director position
- Participating in the procurement process to select a supplier or business partner in which they or a close relative of theirs occupies a sales, management or director position
- Participating in, supervising or having any influence on the hiring process of a close relative, as well as supervising, managing or having any influence on the terms of employment, such as promotion or compensation of a close relative
- Sharing any internal information with candidates for open job positions at SGS
- Working for an SGS customer for whom the employee has performed services in the course of their SGS employment, working for an SGS supplier or business partner, working for an SGS competitor, competing with SGS and offering or participating in any form of professional or consultancy services to an SGS customer or prospective customer

SGS enforces **prior disclosure and approval** rules for each Integrity Disclosure related to certain situations of, or the appearance of conflicts of interest, with which SGS employees must also comply in accordance with applicable SGS policies.

3.6 Other integrity relevant situations

It is not possible to cover all situations that constitute, or may give rise to, the appearance of, conflicts of interest, as well as other integrity relevant situations. While they may not, in themselves, imply misconduct or any compliance or business ethics breach, certain non standard situations may indicate a risk of undue

²³ See section 8 - Definitions

influence or inappropriate pressure and therefore require attention at an early stage. These include, in particular, the following:

- Situations in which declining a request could reasonably be perceived as harmful to an important business or institutional relationship
- Requests framed as informal “suggestions” or “advice” that are clearly intended to influence decisions or outcomes
- Attempts by external stakeholders to obtain informal or non transparent involvement in internal evaluations, selections, or approval processes outside established governance frameworks
- Situations in which explicit or implicit pressure is exerted to accommodate external expectations outside standard procedures or controls is experienced

When in doubt about a particular situation not specifically covered by the **SGS Code of Integrity** or any other SGS policy, SGS employees and third parties acting on behalf of, or representing, SGS, in the context of SGS related business operations, must abstain from taking an impulsive action or decision and **disclose**²⁴ the situation for appropriate review and approval.

3.7 Relations with third parties

Fully committed to compliance and business ethics, SGS has implemented various additional controls to mitigate the counterparty risk of corruption and other compliance risks in its relations with third parties including suppliers and business partners, customers and SGS counterparties in mergers, acquisitions, joint ventures and consortiums.

These measures include, but are not limited to the following, as applicable:

- Specific selection, approval, and due diligence process for third parties operating in a high-risk context before they become eligible to enter into a contractual relationship with SGS and minimum contractual terms and periodic oversight and monitoring for those that are approved
- Mandatory due diligence for other third parties that fall under a high-risk category
- Standard selection and monitoring requirements for other suppliers and business partners aligned with the applicable procurement processes. Different control measures are implemented depending on their related SGS spend, strategic relevance and the type of goods or services that they provide to the Company
- Mandatory due diligence for certain customers in high-risk countries
- Mandatory due diligence for the SGS counterparty prior to completing a merger, acquisition or joint venture operation or entering into a contractual relationship with a consortium member

Also, the Company has identified a series of risk indicators (corruption red flags) that may indicate a potential compliance or business ethics concern that must be observed and considered when assessing and determining the need to request due diligence. For details, please refer to **Annex A** of this Policy

3.8 Due diligence requests

To request due diligence, SGS employees must fill out an SGS Due Diligence Request Form, which can be done by accessing the Due Diligence SharePoint at: **due diligence (sharepoint.com)** and submitting the request to the following email address **duediligence@sgs.com**.

4. INTEGRITY DISCLOSURE CHANNELS

SGS employees with a corporate email account must submit their disclosures using the **SGS Integrity Platform**.

Those without a corporate email account and third parties acting on behalf of, or representing, SGS, must submit their disclosures by contacting Business Ethics using the following email address: **integritydisclosures@sgs.com**.

5. POLICY COMPLIANCE

Every Managing Director is responsible for ensuring that this Policy is implemented in the affiliate they are managing.

Line managers at all levels are additionally responsible for ensuring that their direct reports are made aware and understand the contents of this Policy.

Breaches of this Policy may result in disciplinary measures, up to and including termination of employment or business relationships, as well as legal, regulatory, or other appropriate action.

6. SEEKING GUIDANCE ON OR REPORTING VIOLATIONS OF THE SGS CODE OF INTEGRITY

SGS employees and third parties may access the **SGS Integrity Helpline**, or alternatively use any other official general or local channel, to seek guidance on or report a suspected or known violation of the **SGS Code of Integrity** or this Policy, as appropriate.

Allegations will be reviewed and investigated promptly, impartially and appropriately in line with the Company's approved investigation guidelines and processes.

Findings will be reviewed by the relevant disciplinary committee, and appropriate action will be taken, as required.

7. LEARNING AND COMMUNICATION

SGS maintains a comprehensive anti-corruption risk mitigation framework comprising various controls, including periodic training and awareness initiatives to ensure that relevant stakeholders—including, as applicable, SGS managers, employees, and third parties acting on behalf of or representing SGS—understand their obligations under SGS's anti-corruption standards, the role of such standards within the framework, and the consequences of non-compliance.

In this regard, SGS provides mandatory integrity training on the SGS Code of Integrity to all SGS employees. This training is delivered through digital learning and classroom-based formats and covers anti-corruption in its various forms. Additional tailored training is offered to SGS employees in departments, roles, or jurisdictions identified as higher risk for potential violations of anti-corruption laws. Such training refreshes and clarifies key requirements and provides realistic scenarios that promote a deeper understanding of the principles and rules covered.

²⁴ See section 4 - Integrity Disclosure Channels

Compliance and Business Ethics oversees the design, delivery, and effectiveness of the Compliance and Integrity Program, including relevant learning offerings and communication campaigns, maintains appropriate records, and uses metrics and feedback to continuously monitor and improve the effectiveness of the program.

8. DEFINITIONS

Government and government-owned

or controlled entity – refers to any national, regional, or local government, ministry, department, agency, public authority, or institution established by law, and any entity owned or controlled by them.

Public official – an individual employed in the public sector, by a government or any of its agencies, divisions, subdivisions or instrumentalities, which holds a legislative, administrative or judicial position of any kind, whether appointed or elected. This also includes any individual employed by a private organization performing a public service. Depending on the level of the position, a public official can also be considered a PEP.

Politically exposed person (PEP) – refers to an individual who is considered to present a higher risk due to their position and influence, which may be abused for the purposes of money laundering, corruption, or other illegal or unethical activities.

PEPs are individuals who have been entrusted with a prominent public function, such as heads of state, heads of government, ministers and deputy or assistant ministers, members of parliaments, members of supreme or constitutional courts or of other high-level judicial bodies, members of courts of auditors or of the boards of central banks, ambassadors, high-ranking officers in the armed forces and members of the administrative, management or supervisory bodies of government-owned or controlled entities.

Known close associates of a PEP are also considered PEPs, including:

- Anyone with a close business relationship or joint beneficial ownership of legal entities or legal arrangements with a PEP
- Anyone who has sole beneficial ownership of a legal entity that is known to have been set up de facto for the benefit of a PEP

Close relatives of a PEP

Close relative – a close relative of an SGS employee is defined as a spouse, child, grandchild, parent, grandparent, sibling, brother or sister-in-law, son or daughter-in-law, uncle, aunt, cousin, niece, nephew and any person living with the employee.

Improper advantage – refers to anything of value, including but not limited to payments such as tips, commissions, rebates or other money or securities transfers, gifts, entertainment and hospitality, donations, sponsorships, discounts, employment or other contract offers, loans, favors, or any other benefits

Entertainment and hospitality – refers to any invitation related to food and drink, travel, accommodation or entertainment such as tickets to the theater, a musical, concert or other social or sports event and any payment to a third-party entertainer or entertainment organizer

9. ANNEXES

ANNEX A: CORRUPTION RED FLAGS

Corruption can sometimes be very obvious and direct, but it is often a lot more subtle. The following is an illustrative and non-exhaustive list of corruption red flags identified by SGS.

General:

Applicable to existing or prospective suppliers, business partners and customers:

- The third party requires unusual payment conditions, such as payments in cash or other unusual payment instruments (e.g. digital currencies), payments channeled through unrelated third parties, or payments to a bank account for which the third party cannot demonstrate ownership
- The third party refuses to sign a written contract containing compliance and business ethics provisions
- There is evidence that the third party has manipulated documentation, altered key information, concealed relevant information, or provided false or misleading information
- The third party has a recent registration date (less than one year old) without a clear commercial justification
- The third party refuses to disclose its beneficial ownership or controlling individuals or entities

Existing or prospective suppliers and business partners:

- The supplier or business partner has been proposed, recommended, imposed or selected primarily because of its relationship with an existing or prospective customer
- The supplier or business partner requests a substantial advance payment
- The supplier or business partner demands a compensation structure that is unusual, excessive, or not commensurate with the goods or services provided
- The supplier or business partner appears unable to demonstrate the expertise, personnel, facilities or resources necessary to perform the contracted work
- The supplier or business partner insists on the use of subcontractors, consultants or intermediaries without a clear commercial justification
- The supplier or business partner has an opaque or implausible organizational or ownership structure
- The supplier or business partner demands additional payments or other advantages without a legitimate reason. The supplier or business partner refuses to provide supporting documentation for invoices or claimed expenditures
- The goods or services provided are priced substantially above market value
- The supplier or business partner refuses to sign the **SGS Supplier Code of Conduct**, the **SGS Code of Integrity**, and the SGS Anti-Corruption and Conflicts of Interest Policy, as applicable
- In the case of a joint venture, the joint venture partner does not provide financing in proportion to its shareholding

Existing or prospective customers:

- The customer conditions the award or renewal of a business contract on a donation, sponsorship or any form of improper payment or advantage
- The customer requests that SGS engage a specific supplier, business partner, consultant or intermediary without a legitimate business justification
- The customer requests that SGS conceal, mischaracterize, omit, or inadequately document part of the transaction

When you need to be sure